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TO MCP OR NOT TO MCP

That is THE question

April Dunnam | Principal Cloud Advocate, Microsoft

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TODAY'S SESSION

Agenda

01 MCP basics: what, why, how

02 MCP vs connectors in Copilot Studio

03 Use MCP in Copilot Studio

04 Same server, other hosts

05 What's new in MCP and Copilot

06 Build, secure and ship your own + Q&A

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UP NEXT

MCP basics

What it is, how it works, and why everyone is talking about it

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Start with what you already know

You have chatted with an AI like Copilot or ChatGPT. What is really going on?

Copilot • ChatGPT • Claude • Gemini

Write a friendly intro email for a new customer.

Subject: Welcome aboard!

Hi Jordan, thrilled to have you with us. Here is what to expect in your first week…

It writes, summarizes, explains and brainstorms.

Where does it get its smarts?

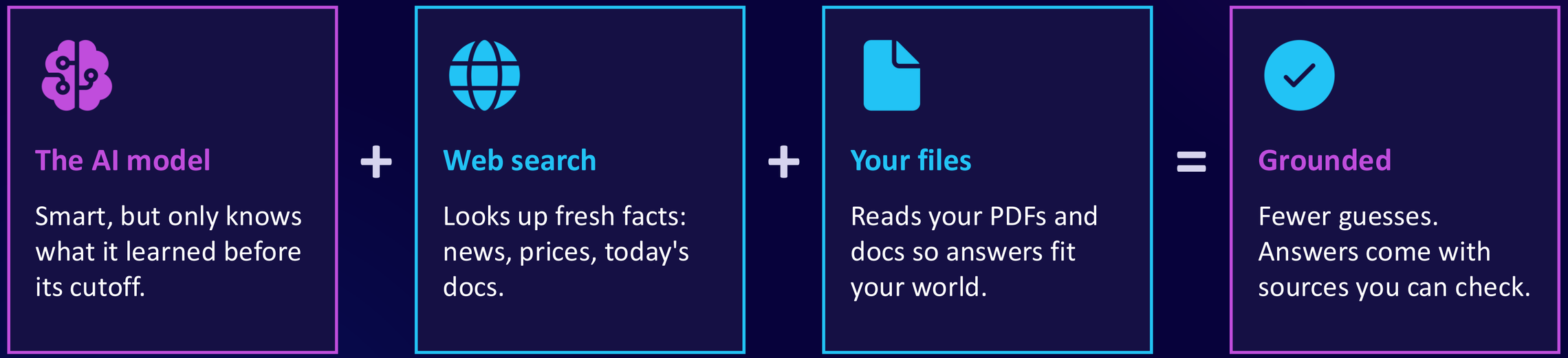


Think of it like…

A brilliant student who studied everything up to one day, then stopped reading the news.

Upgrade it: search the web, read your files

Giving the model sources to lean on is called grounding



That is already cool. But what if you want to do more?

Search and files are reading material. The model can read them, but it still can't act on your behalf.

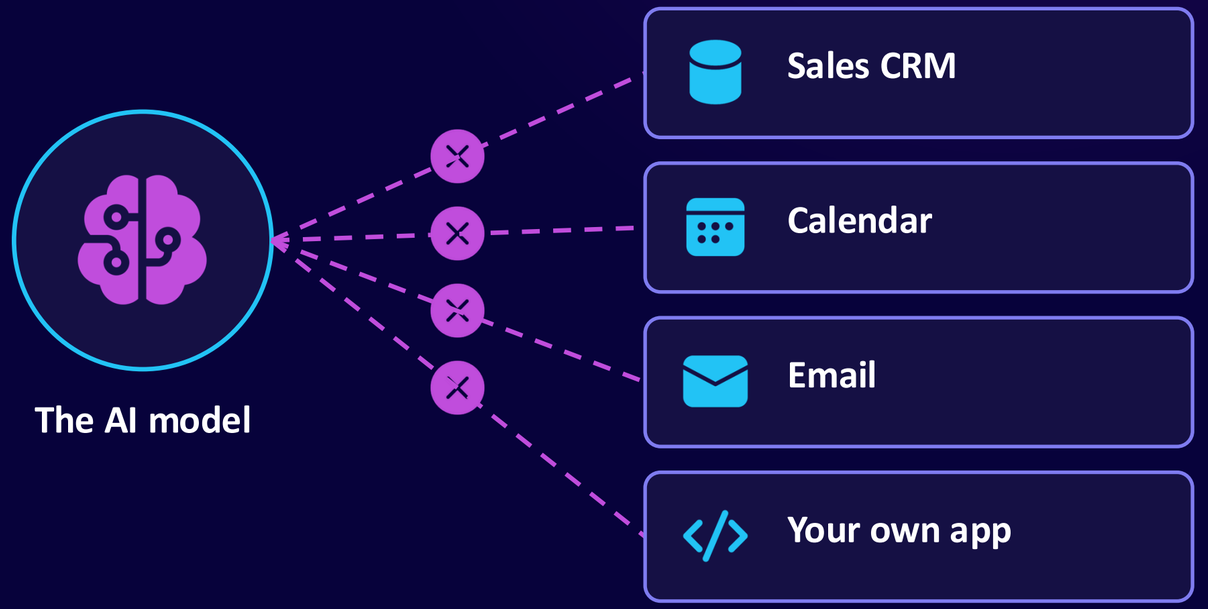
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What if your data lives somewhere else?

Your accounts, calendar, email and tickets aren’t on the web or in a PDF

Which Dallas accounts have open opportunities over $50k?

Sorry, I can't see your CRM. I only know what I was trained on.



So, it’s just smart brain with no way to reach your systems?

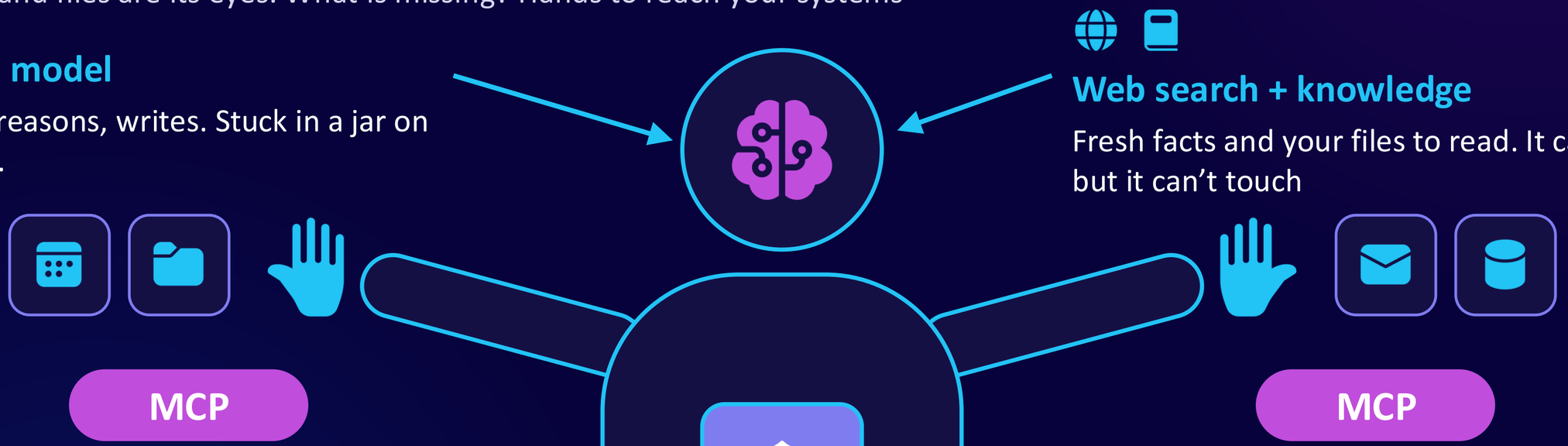
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The AI model is a brain. MCP adds hands.

Search and files are its eyes. What is missing? Hands to reach your systems

The AI model

Reads, reasons, writes. Stuck in a jar on its own.



Web search + knowledge

Fresh facts and your files to read. It can look but it can’t touch

The hands = MCP

Tools the AI can call to read, create and update. MCP is the standard plug.

The badge = Consent

Always ask before touching. The agent gets your yes before it reads or changes anything.

Agent = brain + hands + consent

Think of MCP as a restaurant

RESTAURANT = the HOST

The AI app you sit down in: Copilot Studio, VS Code, Microsoft 365 Copilot

The diner

You (and the AI model)

You ask in plain words. The AI model picks from the menu.

order →

← dish

The waiter

MCP client

Carries your order to the kitchen and brings back the dish.

order →

← dish

The kitchen

MCP server

Cooks for one system (GitHub, your API) and posts its menu.

Menu items = tools & data

- Create an issue
- Query a table
- Read a file

MCP is the shared order slip: any waiter can order from any kitchen.

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Alphabet soup decoder

Every acronym you will hear today, spooned out one line each

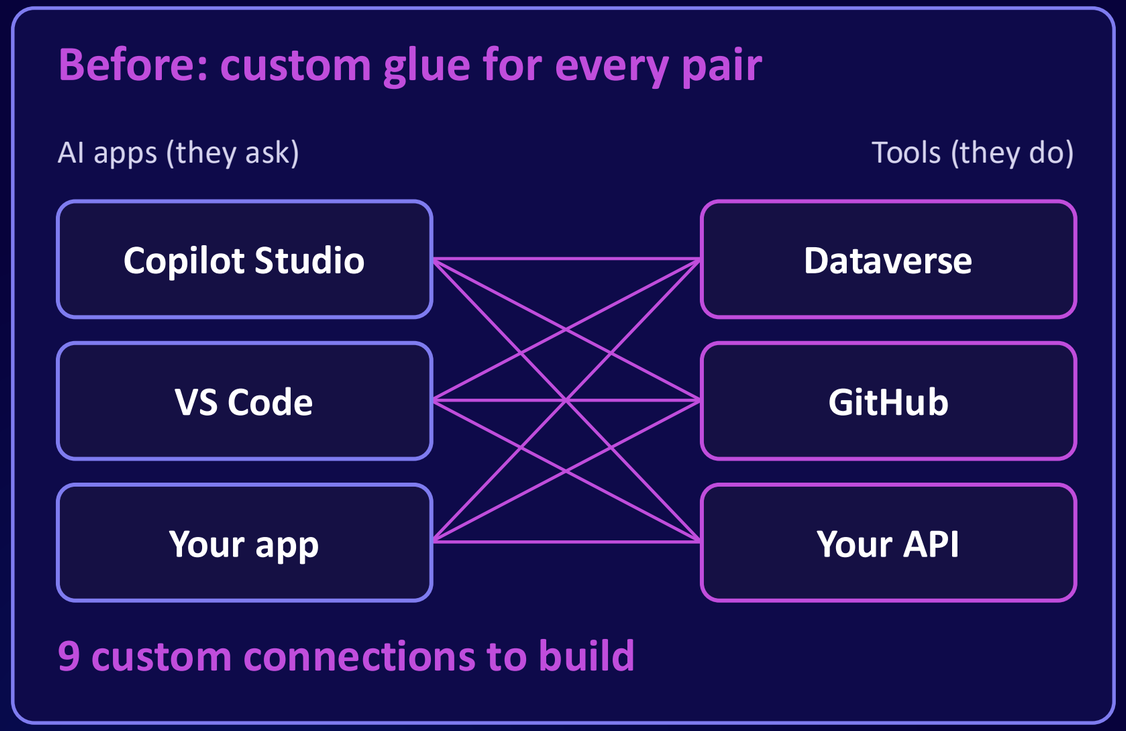


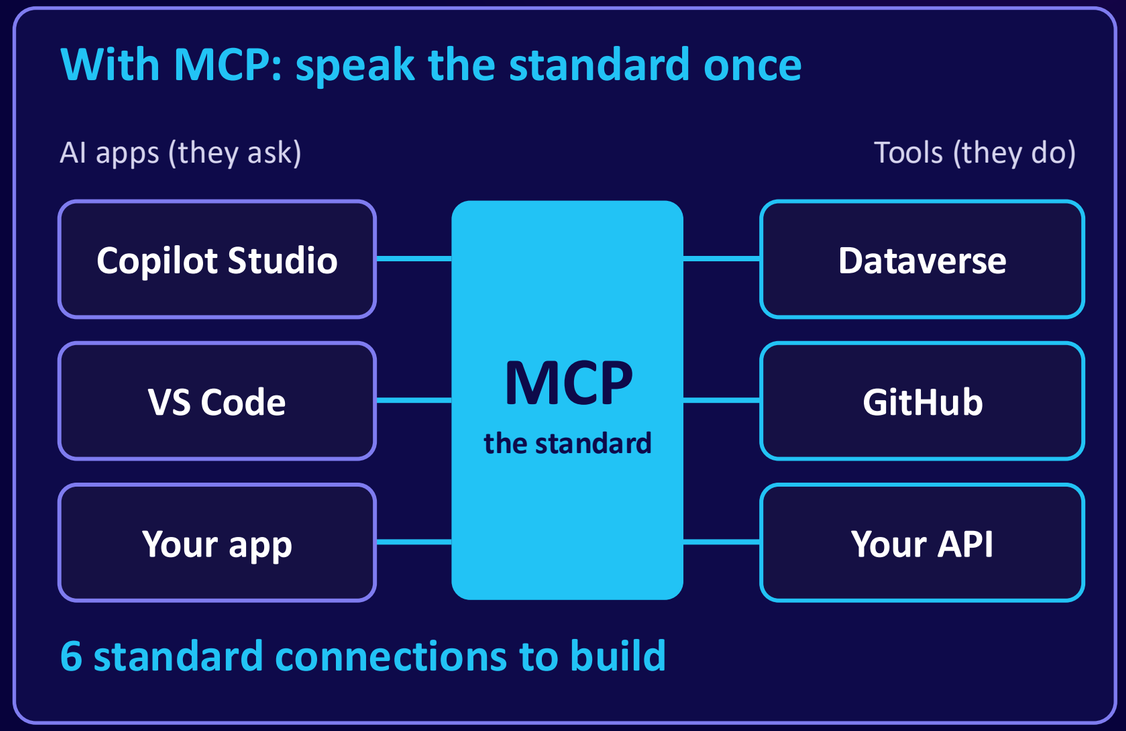
LLM	**Large Language Model** The AI brain that reads and writes text.
API	**Application Programming Interface** A system's front door for software.
MCP	**Model Context Protocol** USB-C for AI: one standard plug.
JSON	**JavaScript Object Notation** The tidy format MCP messages use.
HTTP	**HyperText Transfer Protocol** How the web talks. Remote MCP rides on it.
OAuth	**Open Authorization** A valet key: some doors, not all.
DLP	**Data Loss Prevention** Rules that stop data leaking out.

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Why MCP? Build it once, use it everywhere

Without a standard, every AI app needs custom code for every tool





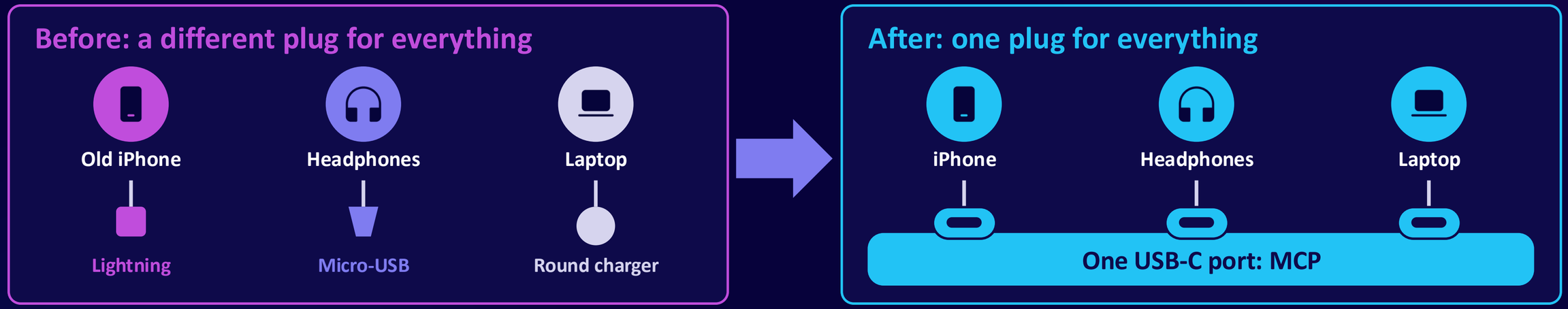
Build a tool once, and any AI app that speaks MCP can use it.

Illustrative: the gap grows fast. With 10 apps and 10 tools, that is 100 custom connections versus 20.

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MCP is USB-C for AI

Model Context Protocol: an open standard connecting AI apps to tools, data and apps



C Context

What flows through the plug, so the model knows what to do

Tools

What it can DO

Each tool describes itself in words the model can read.

Resources

What it can READ

Files, records and data, in one predictable shape.

Prompts

How to ASK

Ready-made templates the server offers to the model.

Open standard

Introduced by Anthropic (Nov 2024); donated to the Linux Foundation's Agentic AI Foundation (Dec 2025)

Vendor-neutral: reuse in compatible MCP hosts

Rapid adoption across AI tools

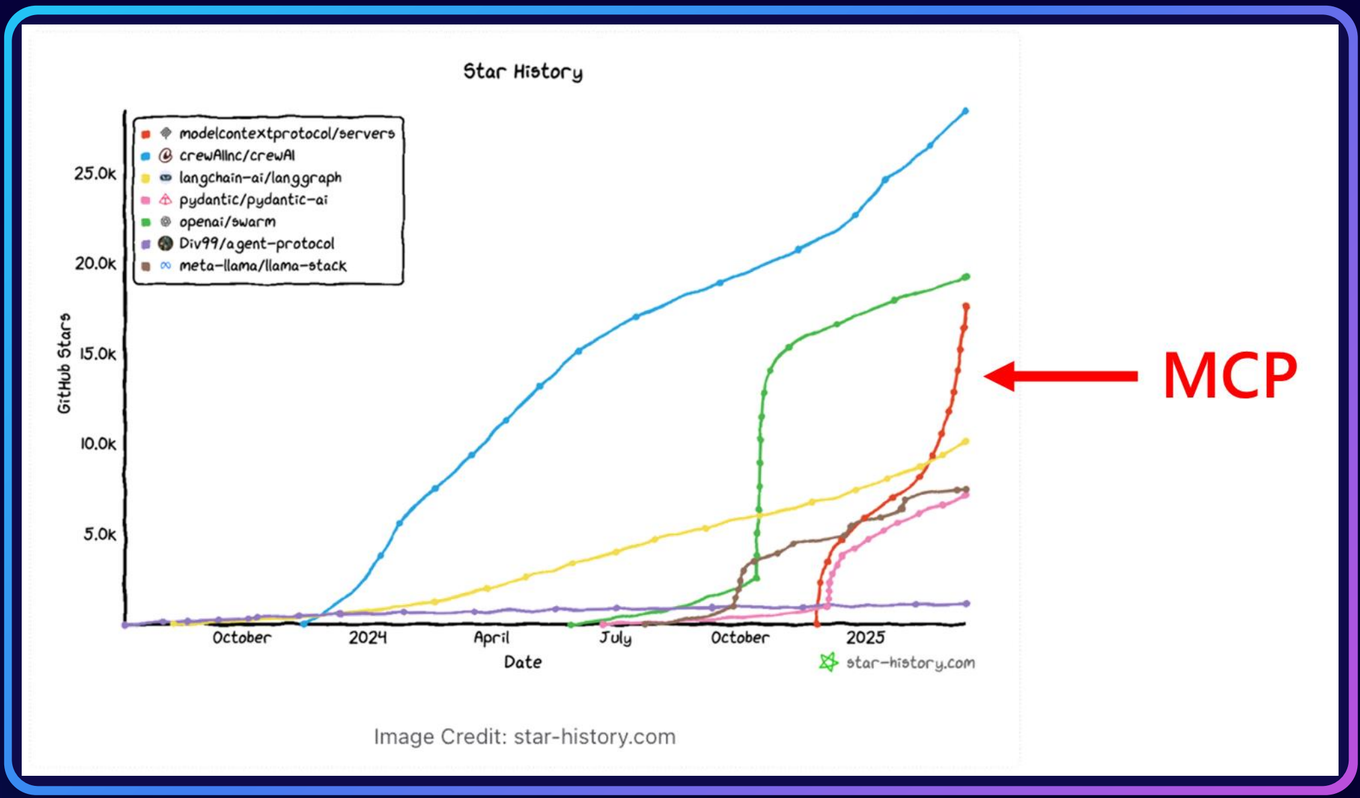


Image Credit: star-history.com

Chart: star-history.com · Stats: MCP blog, 28 Jul 2026

~500M

monthly SDK downloads (Tier 1)

1B+

total downloads (TypeScript, Python)

Supported in

Microsoft Copilot, VS Code, ChatGPT, Claude, Cursor, Gemini…

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How MCP works: follow one order

The restaurant from earlier, now with the real names

RESTAURANT

MCP Host

The AI app you chat in.

WAITER

MCP Client

Lives inside the host. Carries your requests to servers.

KITCHEN

MCP Server

Wraps one system and posts its tool list.

DISH ON THE MENU

Tool

One action it can run, like create_issue.

1 You ask

“Create an issue for the login bug.” The host passes it to the model.

2 Client sends

Picks the create_issue tool off the menu and sends the order. You approve it.

3 Server cooks

Calls GitHub's API and does the real work.

4 Result returns

Issue created. The answer travels back up to your chat.

Same order slip, any kitchen: swap the server, keep the client.

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Inside one MCP tool call

Zoom in on the order from the last slide: “Create an issue for the login bug”

READ THE MENU

Discover

Menu lists create_issue and what it needs

PICK A DISH

Choose

Model picks it and fills in the order

CHECK THE ID

Authorize

Server checks your ID and permissions

COOK AND PLATE

Execute

Runs it, returns a result or a clear error

The order slip

create_issue(repo, title, request_id)

Required details / short result / ticket number: never cook it twice

Slide 15 showed who does what. This is what the kitchen does with one order.

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What else can the kitchen offer?

ON THE MENU: the core three (the C in MCP)



THE DISHES

Tools

Actions the model can run, like create_issue.



THE RECIPE BOOK

Resources

Data and context the model can read, like files and docs.



THE COMBO MEALS

Prompts

Ready-made templates for common requests.

KITCHEN EXTRAS: newer features



THE WAITER ASKS BACK

Elicitation

Server asks you a question mid-task: “Which repo?”



TABLESIDE SERVICE

MCP Apps

Interactive screens shown right in the chat.



THE PAGER

Tasks

Slow jobs run in the background. You get pinged when done.

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Prompts, Elicitation and Tasks in real life

The three that need the most explaining, shown in real situations.

THE COMBO MEALS

Prompts

Type / in VS Code Copilot Chat and pick a ready-made prompt, like “Summarize this PR”. You just fill in the blank.

THE WAITER ASKS BACK

Elicitation

Mid-task, the server stops and asks: “Found 3 repos named docs. Which one?” or “Delete these 40 files?”

THE PAGER

Tasks

Start a big data export. The call returns right away, the work runs in the background, and you get pinged when it is done.

ELICITATION vs. THE ORCHESTRATOR ASKING

ORCHESTRATOR ASKS · BEFORE THE ORDER GOES IN

A required detail is missing, like which repo. The agent spots it from the tool’s inputs and asks. Works with any tool.

ELICITATION · AFTER THE KITCHEN STARTS COOKING

Only the server can know once it is running: “3 matches, which one?” The host must support it: not yet in Copilot Studio.

How does the waiter reach the kitchen?

The route an order takes is called the transport. There are two routes.

YOUR KITCHEN

Local

YOUR COMPUTER



The waiter just walks in the kitchen in the restaurant. Fast and private, but it only works on your own computer.

Real name: stdio (say “standard eye-oh”)

THE GHOST KITCHEN

Remote

OVER THE INTERNET



The order travels over the internet to a kitchen anywhere. Many people can share one kitchen.

Real name: Streamable HTTP

Copilot Studio connects to remote kitchens. The older HTTP+SSE route is retired.

Support across Microsoft hosts

Hosts are the restaurants. Here is how much of the menu each one serves.

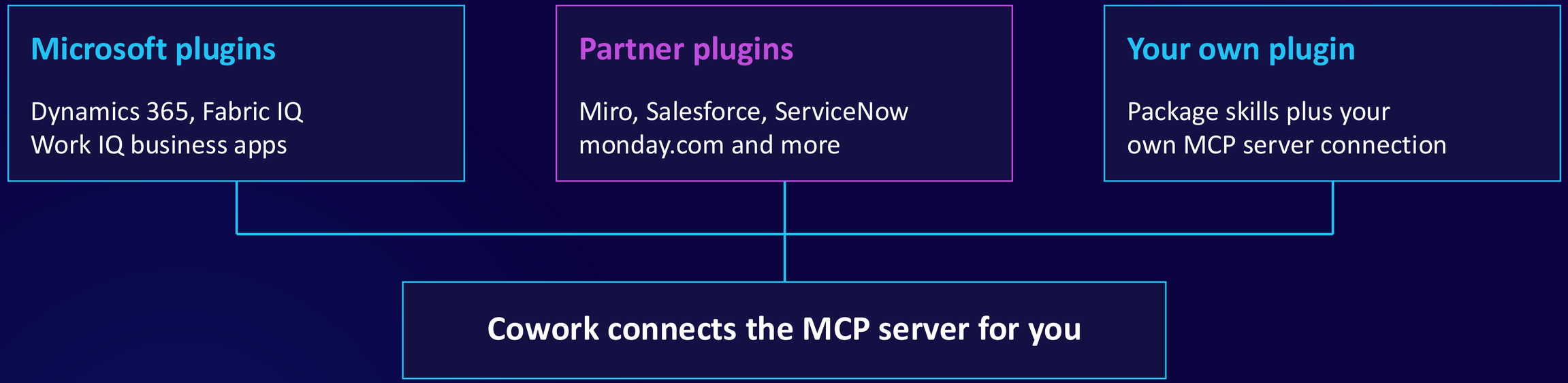
		Copilot Studio	Microsoft 365 Copilot Declarative agents	VS Code GitHub Copilot
Tools	THE DISHES	✓	✓	✓
Resources	THE RECIPE BOOK	✓ Needs generative orchestration	–	✓
Prompts	THE COMBO MEALS	–	–	✓
Elicitation	THE WAITER ASKS BACK	–	–	–
MCP Apps	TABLESIDE SERVICE	Not yet	✓	✓

✓ supported – not listed as supported. Not yet = on the roadmap

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Cowork has MCP servers built in

A plugin = skills + a connection to an MCP server. Install it from the app store.



Cowork is in Frontier preview. Plugins use your existing permissions, and admins can deploy them.

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DEMO

MCP in Copilot Cowork

Leveraging Plugins

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UP NEXT

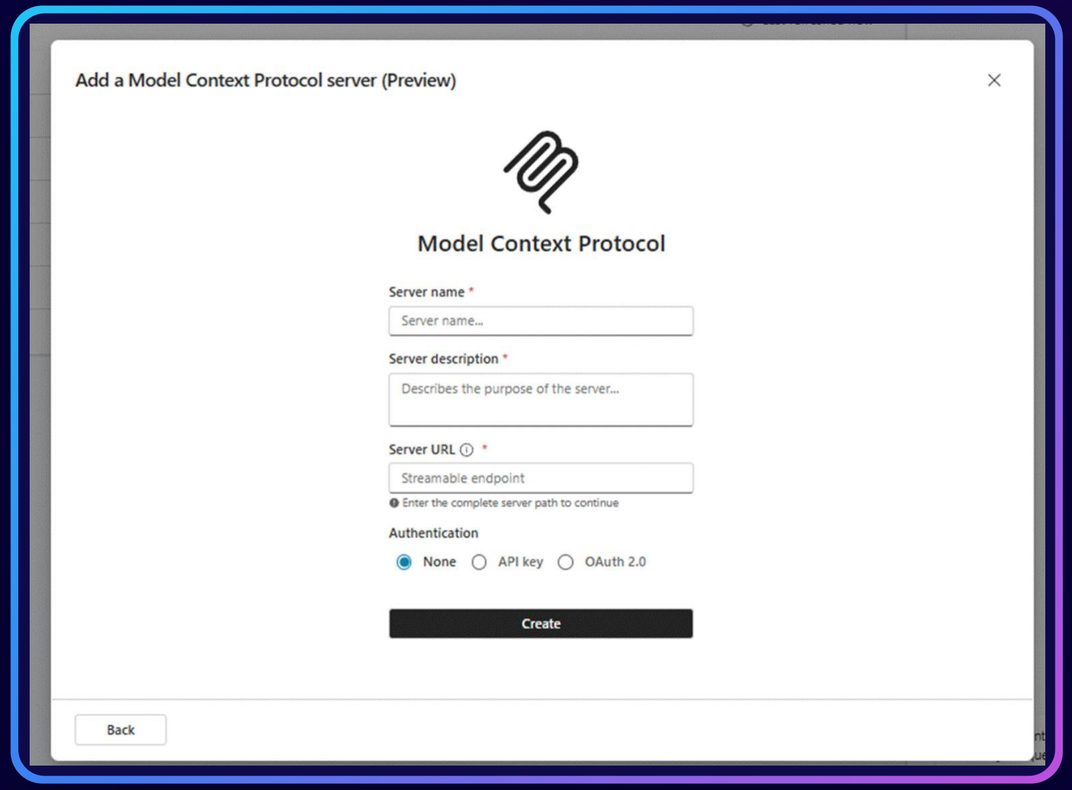
MCP vs connectors

What happens to all the connectors we've been using?

In Copilot Studio, MCP is wrapped in a connector

- The wizard creates a custom connector with one action: InvokeServer
- You inherit connections, data policies and solutions. Backend permissions still apply.
- ISV certification: MCP server certification now in preview (Jul 2026)
- Standard harness only. Other hosts work differently (next slide).

STANDARD HARNESS · MCP ONBOARDING WIZARD



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“Rides on connectors” is only true in some hosts

Where an MCP server plugs in, and whether Power Platform connectors are involved

HOST	HOW AN MCP SERVER GETS ADDED	CONNECTOR UNDER THE HOOD?
Copilot Studio Standard harness	Add tool → MCP onboarding wizard: server URL plus authentication. Streamable HTTP only.	**YES** The wizard generates a custom connector with one action, InvokeServer.
Copilot Studio Microsoft Copilot harness	Add tool → MCP tab (gallery or server URL). A separate tool type beside Connectors and Workflows.	**YES** The wizard generates a custom connector with one action, InvokeServer.
Microsoft 365 Copilot Declarative agents	MCP plugin: a manifest points the agent at a remote MCP server; tools resolve at runtime. GA since Dec 2025.	**NO** Plugin manifest, not Power Platform connectors. Works only inside a declarative agent.
Copilot Cowork Plugins	A plugin package declares a remote MCP server; Cowork discovers tools at runtime. Auth: none, OAuth or API key.	**NO** Here “connector” just means the plugin’s MCP entry.

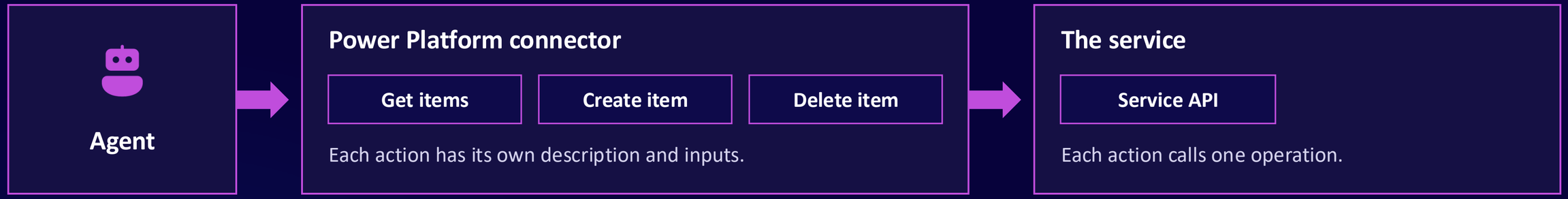
Careful: Cowork plugins and GitHub Copilot also call MCP server entries “connectors”. It is a different thing.

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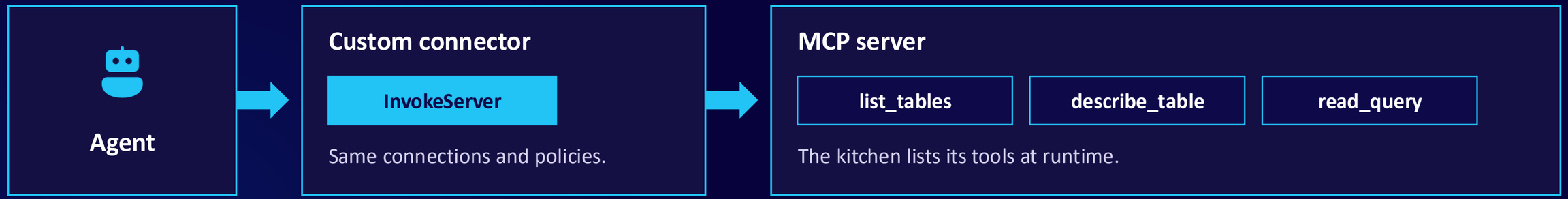
Under the hood: one connector action, many MCP tools

The connector is only the delivery window.

CONNECTOR: A SET MENU. YOU ADD AND CONFIGURE EACH DISH.



MCP IN COPILOT STUDIO: A PASS-THROUGH WINDOW TO THE KITCHEN.



The window never changes. What is on the menu is decided by the kitchen, so new tools can show up without anyone editing the connector.

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One MCP entry, many tools to choose from

Illustrative custom SharePoint MCP server · Copilot Studio standard harness

MCP server

Custom SharePoint MCP

1 entry in the agent's Tools list

Get items	ON
Get lists	ON
Create item	ON
Update item	ON
Delete item	OFF
Move files	ON

Enable the tools you need. The agent dynamically chooses from enabled tools.

Connector actions

Get items
Separate tool entry

Get lists
Separate tool entry

Create item
Separate tool entry

Update item
Separate tool entry

Delete item
Separate tool entry

Move files
Separate tool entry

Add and configure each action as its own tool.

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MCP vs connectors: pros and cons

Standard harness: configuration, maintenance, and control

MCP servers

A kitchen whose menu updates itself

PROS

One server entry manages many tools

Server changes appear automatically, reducing connector-definition maintenance.

CONS

Requires generative orchestration

The server controls tool definitions. Review changes and retest agent behavior.

Connector actions

A set menu you configure one dish at a time

PROS

Explicit setup for each action

Let the agent select a tool, or call it explicitly from a topic.

CONS

More setup as the tool set grows

Add and configure actions individually. API changes can require connector updates.

Both can support dynamic tool selection with generative orchestration.

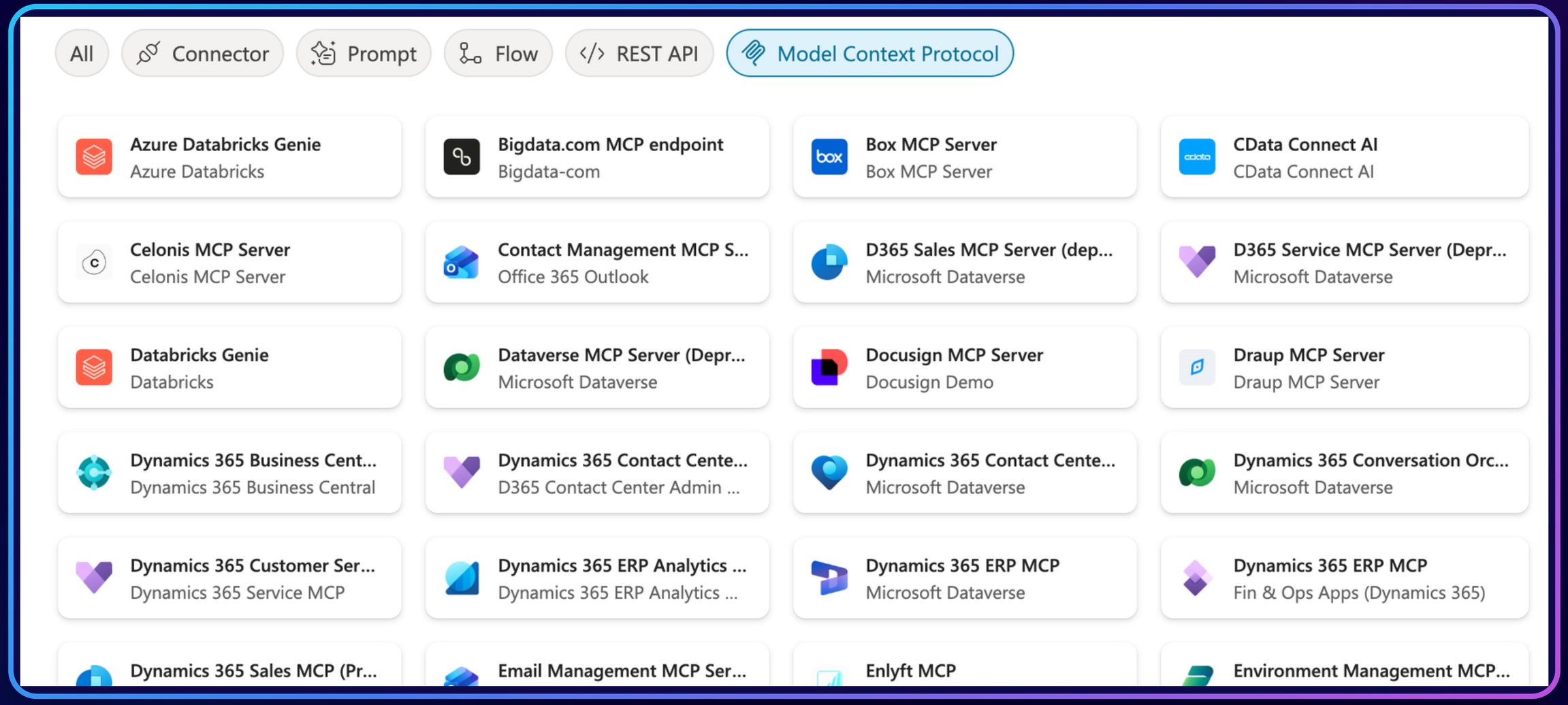
Choose by capability, ownership, and governance, not the number of tools alone.

Who controls what: connector actions vs MCP tools

	Connector actions You write the menu card	MCP tools The kitchen prints the menu
Tool descriptions and inputs	Editable: reword, set defaults, shape what the model sees.	Set by the server owner. No override in Copilot Studio today.
New tools	Appear only when you add them.	Appear automatically from the server. Retest after changes.
Admin control (DLP)	Block individual actions and set a default for new ones.	Allow or block the whole server. Per-tool control depends on the server.
Reuse	Power Platform: Copilot Studio, Power Automate, Power Apps.	Any MCP client: VS Code, GitHub Copilot, other agent platforms.

The GitHub Copilot harness keeps the same two choices: separate MCP and Connectors tabs in Add tool.

Remote MCP servers in Copilot Studio



- Add tool → Model Context Protocol: Microsoft-built and certified partner servers

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The host and harness define the experience

Copilot Studio feature scope

Standard harness

MCP tools and resources
Generative orchestration required
Existing Tools-page workflow

GitHub Copilot harness

Different authoring experience
MCP tools supported
Usage-based billing applies

Published agent as an MCP server

GitHub Copilot harness. Preview in early-release environments.
Protocol support does not imply feature parity across hosts.

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UP NEXT

MCP in Copilot Studio

Remote MCP over Streamable HTTP

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Three different controls protect a tool call

A tool toggle is useful, but it does not replace authorization

Agent configuration

Which tools may this agent select?



Tenant policy

Which connections and servers are allowed?



Backend permissions

What can this identity actually read or change?



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Analogy: it's an office building

Three layers of security, three kinds of door

Key card

Agent configuration. Your card is set to open only certain floors.



Front desk

Tenant policy. Security decides which visitors and buildings are allowed at all.



Door locks

Backend permissions. Even on your floor, each office door checks who you are.



A key card (the tool toggle) never replaces the lock on the door.

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DEMO

Copilot Studio + Dataverse MCP server

Read, write, inspect the trace, and test a boundary

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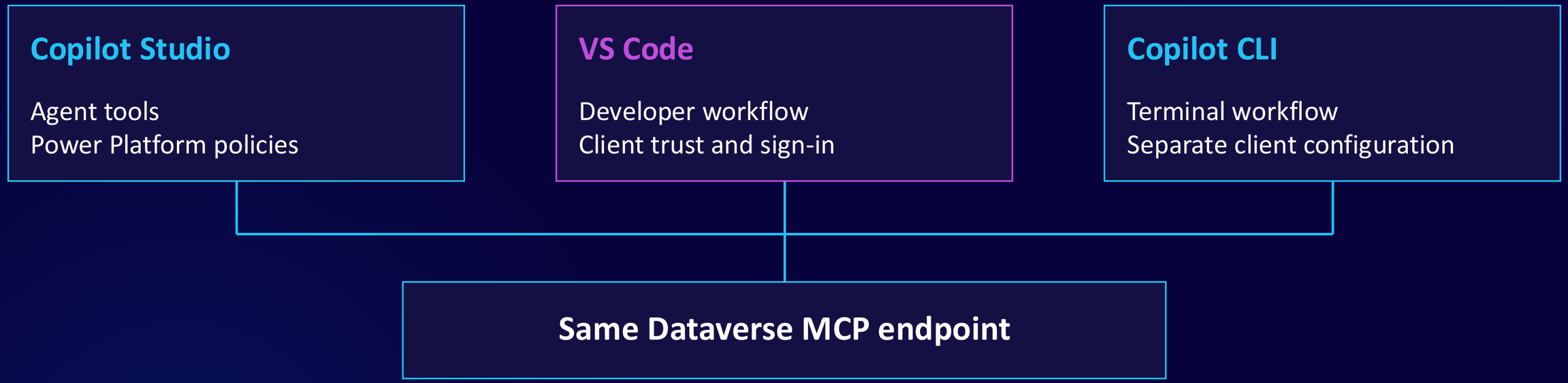
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MCP everywhere else

Local servers, developer tools and Microsoft 365 Copilot

One server, different hosts

Reuse the capability. Recheck the connection and behavior.



Transport, authentication, permissions, and feature support still need testing.

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DEMO

MCP in VS Code & GitHub Copilot CLI

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Open your own kitchen

Why it matters, even if you never write code

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Try it yourself

- Follow the Copilot Studio ❤ MCP lab
- Run a small server on your own laptop
- Connect it to Copilot Studio and test an agent
- Already have an API? Azure API Management can expose it as MCP tools (tools only)

github.com/microsoft/mcsmcp



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DEMO

Custom MCP server

A tiny kitchen on my laptop, used by a Copilot Studio agent

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Food truck vs. licensed restaurant

A demo gets a dish to the table. Production has to pass inspection every night.

	FOOD TRUCK (DEMO)	LICENSED RESTAURANT (PRODUCTION)
Access	Fake data, temporary tunnel	Sign-in required, plus backend permissions
Reliability	One order went through	Timeouts, safe retries, no double orders
Change control	Change the menu, restart	Versioned menu, re-tested on every change
Operations	Watch the test pane	A named owner, plus logs, speed and cost

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Trust, but verify

01 **Health inspector: only trusted suppliers**
Prefer Microsoft-built or certified servers. Central rules (DLP, tracing) keep watch.



02 **Keys for only the rooms the job needs**
Least privilege: turn off the tools you don’t need.



03 **The sticky note in the fine print**
Tool descriptions can hide instructions for the AI and can change after you approve them.



04 **The taste test before you open**
Test a normal order, a denied one, an empty one and a retry. Re-run after every change.



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So… MCP or not to MCP?

Choose MCP when…

- The tool set evolves
- You want the same tools in many AI hosts
- The agent should choose among many tools
- A vendor already ships an MCP server

Choose a connector when…

- You need it in Power Automate, Power Apps or Logic Apps
- You need explicit action configuration
- You need supported connector action controls
- A certified connector already does the job

Standard harness: MCP uses connector infrastructure

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Resources

https://microsoft.github.io/agent-academy/special-ops

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THANK YOU! QUESTIONS?

MCP or not to MCP — that is THE question

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